BROADRIDGE FINANCIAL SOLUTNS BR

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by cuyler1903

			2026	2027
Price:	169.00	EPS	0	0
Shares Out. (in M):	116	P/E	0	0
Market Cap (in $M):	19,600	P/FCF	0	0
Net Debt (in $M):	3,400	EBIT	0	0
TEV (in $M):	23,000	TEV/EBIT	0	0

Description

High and rising free cash flow generator trading at a depressed valuation with plenty of room for share price appreciation, corroborated by insider buying.

Based in Lake Success, New York, Broadridge Financial Solutions operates at the intersection of capital markets, wealth management, asset management, and corporate issuers, providing core technological infrastructure and investor communications. The firm generates approximately $7.4 billion in total revenue, about 65% of which is recurring revenue. Broadridge reports through two primary segments: Investor Communication Solutions (ICS) and Global Technology and Operations (GTO). The ICS segment represents roughly 60% of recurring revenues and serves as the infrastructure for regulatory communications, connecting over 10,000 corporate issuers and 30,000 funds with thousands of broker-dealers and 1.5 billion retail accounts. GTO powers core trading operations and provides the backend for execution, order management, and post-trade settlement across global markets. Broadridge shares have fallen sharply over the last year from an August 2025 high over $261 and currently trade at approximately $169. With equity and enterprise values of approximately $20 billion and $23 billion, respectively, the shares trade at roughly 11x EBITDA. Broadridge generates strong free cash flow and historically converts over 100% of its net income to free cash, which is deployed to cash dividends (2.3% current yield) and share repurchases.

The vast majority of Broadridge's profitability is driven by recurring revenue, which accounts for approximately 95% of its fee (non-pass-through) revenue. This revenue is highly predictable because it is tied to multi-year contracts for essential, everyday financial functions. The model functions largely as software-as-a-service, but instead of charging per employee seat, Broadridge charges based on activity volume. They earn a recurring fee based on the number of investor accounts they service or the number of trades their software processes. Because these services are deeply embedded into the core operations of major banks and brokers, client retention is exceptionally high.

It is my view that the market is mispricing Broadridge's positioning amid rapid technological and regulatory evolution, viewing emerging trends like artificial intelligence and digital asset tokenization as disintermediation risks rather than growth opportunities. I consider Broadridge to be an enterprise infrastructure juggernaut, and I anticipate that Broadridge can sustain its historical trajectory of 7% to 9% recurring revenue growth and 8% to 12% adjusted earnings per share growth while continuing to expand its economic moat.

To explain tokenization in simple terms, it is helpful to think of traditional share ownership as a physical paper certificate kept safe in a central bank vault. Tokenization changes this by taking the proof of ownership and turning it into a digital stamp, or a "token," that lives on a giant, shared digital ledger called a blockchain. One can think of this ledger as a digital bulletin board that everyone in the financial system can see, verify, and update instantly. Some investors view this as a threat to Broadridge because they worry that if every share is recorded on a shared digital board, companies will eventually be able to use automated programs to count votes and send out reports to shareholders directly, removing the need for a middleman like Broadridge entirely. However, for tokenization to displace Broadridge, major Wall Street brokerage firms would have to give up client privacy and hand over the identities of their underlying customers directly to publicly-traded corporations. In my view, because brokers value client privacy as a cornerstone of their business models, they will continue to require a trusted partner like Broadridge to bridge the gap between their traditional and tokenized accounts through a single, secure interface.

- Tokenization. I believe tokenization can operate as a growth catalyst rather than a disintermediation threat. The SEC has indicated that tokenized securities remain classified as securities, meaning they are subject to identical federal proxy voting and disclosure requirements. Rather than bypassing the existing infrastructure, tokenization introduces additional security variants into the ecosystem, which I believe increases the complexity issuers and broker-dealers must manage. In my view, Broadridge is well equipped to aggregate beneficial, registered, and tokenized holdings into a unified administrative layer. The firm is already powering proxy voting for natively issued tokenized securities for clients like Galaxy, and it handles voting for synthetic tokenized structures managed by providers like Ondo. Furthermore, in capital markets, Broadridge's Distributed Ledger Repo platform currently tokenizes over $350 billion in daily volume, establishing a clear lead in institutional digital collateral mobility.

- Structural growth. From my perch, the secular trend of financial democratization looks to support durable, long-term equity position growth. Broadridge generates revenue based on the volume of shareholder positions rather than absolute asset values. The continuous proliferation of direct indexing, zero-commission trading, and managed accounts mechanically multiplies the number of individual equity positions requiring regulatory communications. The company recently reported an 11% expansion in revenue-generating equity positions. Historical data indicates that even during severe macroeconomic contractions, such as the 2008 financial crisis, equity proxy positions exhibited minimal degradation, demonstrating the resilient nature of this volume-driven revenue engine.

- Artificial intelligence. I believe agentic artificial intelligence provides a dual-pronged mechanism for operating leverage and revenue capture. Broadridge is actively deploying proprietary AI models across its internal architecture, driving what management describes as a 25% productivity improvement within its managed services unit, with a path toward 50% efficiency gains. Externally, the firm is monetizing these capabilities through software tools, including an AI-native custom policy voting engine that already manages over $800 billion in assets for institutional managers seeking to internalize proxy voting decisions.

Looking ahead, I believe a potential upward re-rating of Broadridge shares could be triggered by the impending SEC rulemaking regarding default digital communication delivery. The regulatory body is expected to release proposals allowing electronic delivery to serve as the default standard for investor communications, a shift Broadridge anticipates could reach implementation by fiscal 2029. While this transition will likely eliminate a significant portion of the company's zero-margin postage and distribution revenues, it should drive an expansion in consolidated operating margins. Furthermore, if tokenization captures measurable market share, potentially reaching 3% of total equities by 2030 as estimated by Citigroup, the associated rise in new shareholder positions could drive faster growth in high-margin regulatory revenue. If these two dynamics materialize and investor fears subside, it is my view that the market would reward Broadridge with substantial earnings multiple expansion. To that point, CEO Tim Gokey, after having sold stock in the mid-$200s last year, purchased about $1.0 million worth of stock in the open market in March at $194, which I view as a modestly positive signal.

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Catalyst

- Time and free cash flow growth.
- SEC rulemaking regarding default digital communication.

Messages

No messages